ACTION TRIGGERS · CLIMATE, NATURE & FOOD SYSTEMS · 5 NOVEMBER 2026

2027 Will Test Food and Water Buffers That Are Thinner Than They Look

The cushions for a bad year, from world grain stocks to Europe's farm reserve and stored water, are thinner or harder to reach than the totals suggest, and a very strong El Niño lands on them in 2027. January's insurance renewals and the spring harvest estimates will show how thin.

Produced using **Shaping Tomorrow's six-stage process for converting external change into decision-ready intelligence**.
Scanned and filtered by AI. **Stress-tested and judged by humans**.

How long you have to get ready

The six actions below, from today to the moment each falls due. Select a pill to see what would change it, or a number to go to the action.

Since the last Action Triggers on 4 September 2026: NEW **2** REVISED **4**

Now

	Now to Dec 2026 IMMEDIATE	Jan to Mar 2027 NEXT QUARTER	Apr to Jun 2027 NEXT PLANNING CYCLE
3 NEW **Use the January reinsurance renewals to lock in more cover and longer terms, and report the uninsured share of catastrophe exposure to the board.** Chief financial officer, with the risk manager and broker	PREPARE	◇ 1 Jan: reinsurance renewals 31 Mar: uninsured share to the board ◇	
4 REVISED **Settle who holds the deforestation evidence, and which officer signs for it, in each member state where your goods first enter the EU.** General counsel, with procurement and customs	PREPARE	◇ 30 Dec: deforestation rules apply	
1 REVISED **Cover a larger share of 2027 food and commodity needs now, sized to what exporters can sell, and add origins outside the El Niño belt.** Chief procurement officer, with commodity risk	DECIDE	◇ Dec: FAO November price index	◇ 31 Jan: 2027 cover levels set
2 REVISED **Test every site, supplier and river route against a dry 2027, recording both the term and the volume of each water permission.** Chief operating officer, with the board's risk committee	DECIDE	31 Mar: dry-2027 test complete ◇	

5 NEW **Re-run internal carbon prices and abatement cases against a range that includes a 2030 price near 91 euros a tonne.**

Chief financial officer, with treasury and strategy

6 REVISED **Keep watch on who will pay for the nature restoration measures in your country's plan before it becomes final in September 2027.**

Head of land and sustainability, with the chief financial officer



time to get ready ◇ key date DECIDE act now PREPARE get ready to act MONITOR watch it

Early warnings

Signals the portfolio surfaced before consensus formed, in the order they hardened.

LEAD TIME 3 WEEKS AHEAD | SIGNAL SCAN | DECISION INTELLIGENCE

Buyers who size their cover to world grain stocks will find most of the cushion out of reach when El Niño peaks.

INITIAL SIGNAL

We identified that the headline stock totals include reserves that will not be traded, so the buffer open to importers is the exporters' line, which is smaller and falling.

NOW EVIDENT

- **Who holds the corn**: of 280.44 million tonnes of world corn stocks, China holds 165.13 million and is projected to export 0.02 million, while major exporters hold 25.11 million, down from 27.14 million a year earlier.
- **Prices**: the FAO cereal index stood 17.2% above a year earlier in September, with maize at its highest in more than three years.
- **The peak**: NOAA gives an 83% chance of a historic El Niño, stronger than any since 1950, between October and December, and the World Bank expects food commodity prices to rise another 7% in 2027.

FAO NOVEMBER CEREAL INDEX **early December 2026**

SOUTHERN AFRICAN MAIZE HARVEST **April to June 2027**

DECIDE

Procurement leads should size 2027 cover to what exporters can sell, not to the world total.

LEAD TIME 4 WEEKS AHEAD | SIGNAL SCAN | CHANGE TRACKER | DECISION INTELLIGENCE

India's winter harvest will be decided by its reservoirs, and an export curb would carry the shortfall abroad.

INITIAL SIGNAL

We read India's agriculture ministry writing its winter crop plan from reservoir water and soil moisture rather than from stock positions, while fertiliser stocks were ample.

NOW EVIDENT

- **The plan**: a rabi target of 177.72 million tonnes set with reservoir water and soil moisture named among its drivers, and four southern states told to plan crops on water availability.
- **The drought**: 52.5% of India's area dry or in drought on 16 September, up from 38.9% a month earlier, after a monsoon at 87% of normal.
- **The reservoirs**: the 178 reservoirs the government monitors held 16.44% less than the ten-year normal on 15 October.

DECEMBER SOWING REPORTS **first week of December**

EXPORT CURB WATCH **before 31 March 2027**

PREPARE

Buyers of Indian rice, wheat, pulses and edible oils should set sourcing triggers on drought area and reservoir storage.

LEAD TIME 6 WEEKS AHEAD | CHANGE TRACKER | DECISION INTELLIGENCE

Water cuts in 2027 will reach power stations and river freight as well as farms, starting on the Colorado and the Zambezi.

INITIAL SIGNAL

We tracked water entitlements shortening to two-year terms on the Colorado and the August decision moving into court, at a point when the cuts were still read as a farm problem.

NOW EVIDENT

- **Colorado**: Lake Powell placed in its lowest operating range for 2027, with releases cut to 6.00 to 7.00 million acre-feet, and Arizona joining Nevada's suit against the cuts in mid-October.
- **Zambezi**: Lake Kariba's water for power cut to 23 billion cubic metres for 2027, from 36 billion in 2026, because the rainfall outlook points to El Niño drought.
- **Rhine**: the river fell below its 2018 record low in August, and freight carried to Germany by Dutch barges fell 39.7%.

TWO-YEAR CUTS **2027 and 2028** KARIBA ALLOCATION **23 billion cubic metres in 2027**

DECIDE

Operations leads should test every site, supplier and river route against a dry 2027 now.

LEAD TIME 7 WEEKS AHEAD | SIGNAL SCAN | CHANGE TRACKER | DECISION INTELLIGENCE

A second bad European harvest would meet an emergency farm fund that has already been spent.

INITIAL SIGNAL

We identified that Europe's agricultural reserve had been committed to fertiliser bills in July, so when the drought arrived the relief came as suspended land rules, not money.

NOW EVIDENT

- **The reserve**: €540 million committed on 17 July to fertiliser and energy costs, from a reserve of €450 million a year, and the Commissioner saying no new money would come.
- **The herd**: GB milk deliveries down 4.5% in August and the dairy herd down 2.2% to the lowest level on record, with winter feed already in use.
- **Prices**: wheat up 6.3% in September to its highest since August 2023, and the FAO food price index 5.8% above a year earlier.

ADVANCE PAYMENTS **70% from 16 October** FERTILISER AID PAID OUT **by 28 February 2027**

PREPARE Dairy and food buyers should contract 2027 volume against a smaller herd rather than wait for spring.

LEAD TIME 7 WEEKS AHEAD | SIGNAL SCAN | DECISION INTELLIGENCE

Cheap reinsurance at the January renewals will leave buyers short of cover when losses return to the trend.

INITIAL SIGNAL

We flagged in mid-September that Europe's drought relief was pushing costs onto insurance and public budgets, and that the protection gap was the next place the bill would land.

NOW EVIDENT

- **The calm year**: insured losses of $92 billion in the first nine months of 2026, the lowest since 2019, which Swiss Re calls “the luck of the draw” against a trend rising 5% to 7% a year.
- **Prices**: 60% of market participants expect reinsurance prices to fall further in 2027.
- **The gap**: only $44 billion of about $112 billion of first-half disaster losses was insured.

REINSURANCE RENEWALS **1 January 2027**

PREPARE Finance chiefs should price cover for the trend, not for this year's luck.

Assumptions that have shifted

Cycle-over-cycle assumption changes, in decreasing order of strategic weight.

SHIFT 1 OF 6 REPLACED

Rules that take away access are the main climate risk to plan for

PRIOR CYCLE HELD

September's briefing was titled "Climate Policy Has Started Taking Things Away": water rights on short terms, plot-level origin evidence and carbon charges were read as the constraints that would bind first.

THIS CYCLE READS

The rules arrived on time but thin, unfunded or looser than written, while the physical squeeze moved first. El Niño, water and food prices now set the 2027 plan, and the rules decide who carries the cost.

- **Deforestation**: enforcement in Germany is planned around a control rate of about 1.8% of importers.
- **Restoration**: national plans become final in September 2027, before the Commission says what they will cost.
- **Carbon farming**: the rulebook adopted on 9 July says it cannot yet quantify the land-price risk it may create, and defers the safeguards.
- **Physical**: India's winter crop is being planned from water budgets, and Lake Kariba's water for power falls by about a third in 2027.

FORWARD THESIS

Plan 2027 around physical buffers first and rules second. The tripwire is **a grain-exporting government restricting wheat, maize or rice exports before 31 March 2027**, or the FAO cereal index for November staying at or above September's 122.8 points.

SHIFT 2 OF 6 HOLDING

Europe's drought will reach food prices through next year's contracts

PRIOR CYCLE HELD

September called it this way: "Europe's 2026 drought will push up food prices, so flat food inflation in August is not the reassurance it looks like", and the September synthesis graded food momentum as weakened at the till.

THIS CYCLE READS

The call held against a direct test. The FAO food price index averaged 136.0 points in September, 5.8% above a year earlier, wheat reached its highest since August 2023, and the World Bank expects food commodity prices to rise about 10% in 2026 and another 7% in 2027.

FORWARD THESIS

Treat 2027 as a contract-cost year in food buying. The tripwire is **the World Bank or FAO cutting its 2027 food price outlook below a rise**, which would reopen the question.

SHIFT 3 OF 6 WEAKENED

The length of a water right matters more than the size of the cut

PRIOR CYCLE HELD

The prior cycle held that "the binding change is the tenor of entitlement rather than the size of the cut", and split it into two mechanisms: administered terms and discretionary restriction.

THIS CYCLE READS

The short terms are real and contested: two-year cuts for 2027 and 2028, with Nevada and now Arizona in federal court. But for 2027 the volume is back as the binding fact: Lake Powell's releases fall to 6.00 to 7.00 million acre-feet and Kariba's water for power falls to 23 billion cubic metres from 36 billion. Where storage refilled, as in Spain at 59.2% full, a dry season can still be absorbed.

FORWARD THESIS

Test each site on both the term and the volume of its water. The tripwire is **Reclamation's next 24-month study keeping Lake Powell in its lowest operating range**, expected by April 2027.

SHIFT 4 OF 6 SPLIT

The 30 December deforestation date holds, so the risk is the deadline

PRIOR CYCLE HELD

September's call was that "the EU's 30 December 2026 deadline for deforestation-free supply chains will hold", and the September synthesis told procurement leads to scope every product line against it.

THIS CYCLE READS

The date is holding: the Commission still stresses the timetable. But the risk has moved from the deadline to the member state where goods first enter the EU, and it is thin and severe at once.

- **Germany**: the bill assumes inspecting about 1.8% of 33,000 to 126,000 importers, yet allows up to five years' imprisonment.
- **Ireland**: the scheme allows fines of up to €10m or 4% of EU-wide turnover, and personal liability for officers.
- **Cost**: the Commission puts annual compliance costs at EUR 2.0 billion, down from EUR 8.1 billion, with downstream operators largely relieved.

FORWARD THESIS

Price a failure by the member state of first placement, not by the odds of an audit. The tripwire is **a German authority announcing its first fine proceeding under the Act before 30 June 2027**.

SHIFT 5 OF 6 WEAKENED

Carbon is now a cost companies pay, not just a figure they report

PRIOR CYCLE HELD

September held that "carbon costs are now being charged, not just reported", on border certificate prices and national auctions in Germany, the United Kingdom and Canada.

THIS CYCLE READS

Carbon is still charged today, but the 2030s price is being marked down. The Commission's July proposal cuts the 2031 to 2035 reduction factor from 4.4% to 3.7% and halves the reserve's intake, Sandbag puts the 2040 surplus at 4.4 times annual emissions, and ABN AMRO now forecasts 91 EUR/tCO2 for 2030 against 138 in May.

FORWARD THESIS

Carry a range for the 2030s carbon price, not one scarcity curve. The tripwire is **the Council or Parliament setting the 2031 to 2035 reduction factor at or below 3.7% before 31 March 2027**.

SHIFT 6 OF 6 SPLIT

Nature risk has left the sustainability report for the risk register

PRIOR CYCLE HELD

The September synthesis held that "nature risk moves from the sustainability report to the risk register", and advised keeping nature exposure out of the reporting budget.

THIS CYCLE READS

True in Europe and false where ISSB standards apply. The EU cut mandatory reporting datapoints by over 60%, but the ISSB states that material nature disclosure "is not optional; IFRS S1 already requires that", and TNFD-aligned reporters doubled to over 1,000 organisations.

FORWARD THESIS

Run a nature materiality screen in ISSB jurisdictions even where no nature standard is mandatory. The tripwire is **an ISSB jurisdiction referencing the final Practice Statement in its own rules**.

Actions triggered

Each trigger names why it activates now, why it matters, the recommended actions, the primary decision owner, the decision window, and the conditions under which the recommendation should be reviewed.

DECIDE ACTION 1 SIGNAL SCAN SIGNAL SCAN CHANGE TRACKER DECISION INTELLIGENCE

Cover a larger share of 2027 food and commodity needs now, sized to what exporters can sell, and add origins outside the El Niño belt.

TRIGGER CONDITION

This recommendation has been activated because China holds 165.13 million of the world's 280.44 million tonnes of corn while exporters' stocks fell to 25.11 million, because NOAA gives an 83% chance of a historic El Niño by December, because India is planning its winter crop from water budgets, and because most cover policies are still sized to world totals.

PRIMARY DECISION OWNER Chief procurement officer, with commodity risk

DECISION WINDOW NEXT QUARTER 2027 cover levels and second origins by 31 January 2027

WHY THIS NOW MATTERS

The market answers a price rise with more planting only after a season, so the cover bought against today's stocks is cheaper than the cover bought against next spring's harvest estimates.

RECOMMENDED ACTIONS

- **Immediate:** re-size cover for each El Niño-exposed commodity to exporters' stocks and the FAO cereal index rather than world totals.
- **Immediate:** qualify a second origin for each, outside the belt El Niño dries, such as Brazil's record crop.
- **Next quarter:** add drought area, reservoir storage and sowing reports to the triggers for further purchases.
- **Follow-on:** write export-restriction clauses into supply contracts with South and Southeast Asian origins.

REVIEW CONDITIONS

ESCALATE If a grain-exporting government restricts wheat, maize or rice exports for a month or more before 31 March 2027, extend forward cover to two quarters and move purchases to the second origins.

SCALE BACK If USDA shows major exporters' 2026/27 corn ending stocks back above 27.14 million tonnes, keep the second origins but hold cover at today's level.

STAND DOWN If NOAA lowers the chance of a very strong event below 50% and the FAO cereal index is no more than 5% above a year earlier in January 2027, return to normal cover.

DECIDE ACTION 2 CHANGE TRACKER DECISION INTELLIGENCE

Test every site, supplier and river route against a dry 2027, recording both the term and the volume of each water permission.

TRIGGER CONDITION

This recommendation has been activated because Lake Powell enters its lowest operating range for 2027, because Kariba's water for power falls from 36 to 23 billion cubic metres, because Rhine freight to Germany fell 39.7% in August, and because the September recommendation put a water right's term into capital approvals but not its volume.

PRIMARY DECISION OWNER **Chief operating officer, with the board's risk committee**

DECISION WINDOW NEXT QUARTER **Dry-2027 test complete by 31 March 2027**

WHY THIS NOW MATTERS

Hydropower and river freight fail in the same dry year as farms, so a site plan that tests only its own supply misses the power and the barges it depends on.

RECOMMENDED ACTIONS

- **Immediate:** list the sites, suppliers and routes that depend on a low river or reservoir, including hydropower supply.
- **Next quarter:** agree storage, alternative transport and power for each, before the 2027 dry season.
- **Follow-on:** add the volume of the water permission, beside its term, to the capital approval template.

REVIEW CONDITIONS

ESCALATE If Reclamation's next 24-month study keeps Lake Powell in its lowest operating range, move Colorado-basin output into the 2027 contingency plan.

SCALE BACK If a federal court suspends the two-year cuts on the suit brought by Nevada and Arizona, keep the site test but drop the term field for Colorado-basin sites.

STAND DOWN If the Zambezi River Authority restores Kariba's 2027 allocation toward 36 billion cubic metres and the Rhine recovers through the winter, return those sites to ordinary planning.

PREPARE ACTION 3 SIGNAL SCAN DECISION INTELLIGENCE

Use the January reinsurance renewals to lock in more cover and longer terms, and report the uninsured share of catastrophe exposure to the board.

TRIGGER CONDITION

This recommendation has been activated because insured losses ran at their lowest since 2019, because 60% of the market expects reinsurance prices to fall again in 2027, because only $44 billion of about $112 billion of first-half losses was insured, and because most renewal plans treat a calm year as a cheaper year.

PRIMARY DECISION OWNER Chief financial officer, with the risk manager and broker

DECISION WINDOW IMMEDIATE Before the 1 January 2027 renewals; board report by 31 March 2027

WHY THIS NOW MATTERS

Swiss Re reads the calm as luck against a trend rising 5% to 7% a year, so savings taken now are paid back with interest in the first costly year.

RECOMMENDED ACTIONS

- **Immediate:** price higher limits and multi-year terms at the January renewals rather than taking the saving.
- **Next quarter:** report the uninsured share of catastrophe exposure, by site, to the board.
- **Follow-on:** price parametric cover for exposures that ordinary policies leave out.

REVIEW CONDITIONS

RAISE TO DECIDE If the 1 January renewals cut property catastrophe prices again, commit to multi-year cover at the new price.

SCALE BACK If limits cannot be bought at today's prices, drop the multi-year option and price self-insurance instead.

STAND DOWN If reinsurance prices rise at the January renewals, the soft-market window has closed: renew on normal terms.

PREPARE ACTION 4 SIGNAL SCAN CHANGE TRACKER

Settle who holds the deforestation evidence, and which officer signs for it, in each member state where your goods first enter the EU.

TRIGGER CONDITION

This recommendation has been activated because the rules apply on 30 December with the date still holding, because Germany's bill pairs a 1.8% control rate with up to five years' imprisonment, because Ireland's scheme adds officer liability and fines of up to €10m, and because the Commission has moved the duty to the importer that first places the goods.

PRIMARY DECISION OWNER **General counsel, with procurement and customs**

DECISION WINDOW IMMEDIATE **Before the rules apply on 30 December 2026**

WHY THIS NOW MATTERS

A low inspection rate lowers the odds of an audit but not the cost of one failure, and that cost is set by the strictest regime at the point of first placement.

RECOMMENDED ACTIONS

- **Immediate:** map every in-scope shipment to the member state where it first enters the EU.
- **Immediate:** name one accountable officer per state and brief the directors who will sign.
- **Follow-on:** move warranties and indemnities in supply contracts to match where the duty now sits.

REVIEW CONDITIONS

RAISE TO DECIDE If the German Act enters into force on 30 December 2026, fund shipment-level evidence for every importer placing goods through Germany.

SCALE BACK If Ireland enacts its Bill without the officer-liability clause before 30 June 2027, drop the director briefing for Irish first placers and keep the evidence work.

STAND DOWN If the Commission tables a proposal to move the 30 December date, pause the spend and keep the shipment map.

PREPARE ACTION 5 SIGNAL SCAN CHANGE TRACKER

Re-run internal carbon prices and abatement cases against a range that includes a 2030 price near 91 euros a tonne.

TRIGGER CONDITION

This recommendation has been activated because the Commission's proposal cuts the 2031 to 2035 reduction factor from 4.4% to 3.7%, because Sandbag puts the 2040 surplus at 4.4 times annual emissions, because ABN AMRO cut its 2030 forecast to 91 EUR/tCO2 from 138, and because most hurdle rates still use one scarcity curve.

PRIMARY DECISION OWNER **Chief financial officer, with treasury and strategy**

DECISION WINDOW NEXT PLANNING CYCLE **In the 2027 and 2028 budgets**

WHY THIS NOW MATTERS

Abatement projects financed on a scarcity price lose their return if the cap loosens, and the text is still open to change until it is agreed.

RECOMMENDED ACTIONS

- **Immediate:** replace the single carbon price curve with a range in every 2027 capital case.
- **Next quarter:** re-test abatement projects that depend on 2030s carbon revenue, and price contracts for difference alongside.
- **Follow-on:** shorten hedge tenor on allowances until the reform is agreed.

REVIEW CONDITIONS

RAISE TO DECIDE If the Council or Parliament sets the 2031 to 2035 reduction factor at or below 3.7% before 31 March 2027, re-base all 2030s carbon assumptions to the lower path.

SCALE BACK If the agreed reserve threshold is set at or below 400 million allowances, keep the range but narrow it toward the old curve.

STAND DOWN If co-legislators keep the 2031 to 2035 reduction factor at 4.4%, return to the scarcity curve.

MONITOR ACTION 6 SIGNAL SCAN CHANGE TRACKER

Keep watch on who will pay for the nature restoration measures in your country's plan before it becomes final in September 2027.

TRIGGER CONDITION

This recommendation has been activated because only ten of 27 member states had filed draft plans by late October, because the Commission will cost the plans only after budget talks advance, because LIFE may end as a separate programme, and because owners of affected land carry the exposure until a measure names who pays.

PRIMARY DECISION OWNER **Head of land and sustainability, with the chief financial officer**

DECISION WINDOW MONITOR ONLY **Reassess on 30 June 2027**

WHY THIS NOW MATTERS

A measure assumed to arrive with EU funding becomes an unbudgeted cost if the money does not arrive, and the national consultations running now are the cheapest place to ask.

RECOMMENDED ACTIONS

- **Immediate:** map owned and operated land against the measures in the national draft plan.
- **Follow-on:** budget those measures as a cost until a funding line exists.

REVIEW CONDITIONS

RAISE TO PREPARE If the Commission has not published its funding-needs analysis by 30 June 2027, treat the plan's financing as conditional and budget the measures on your land.

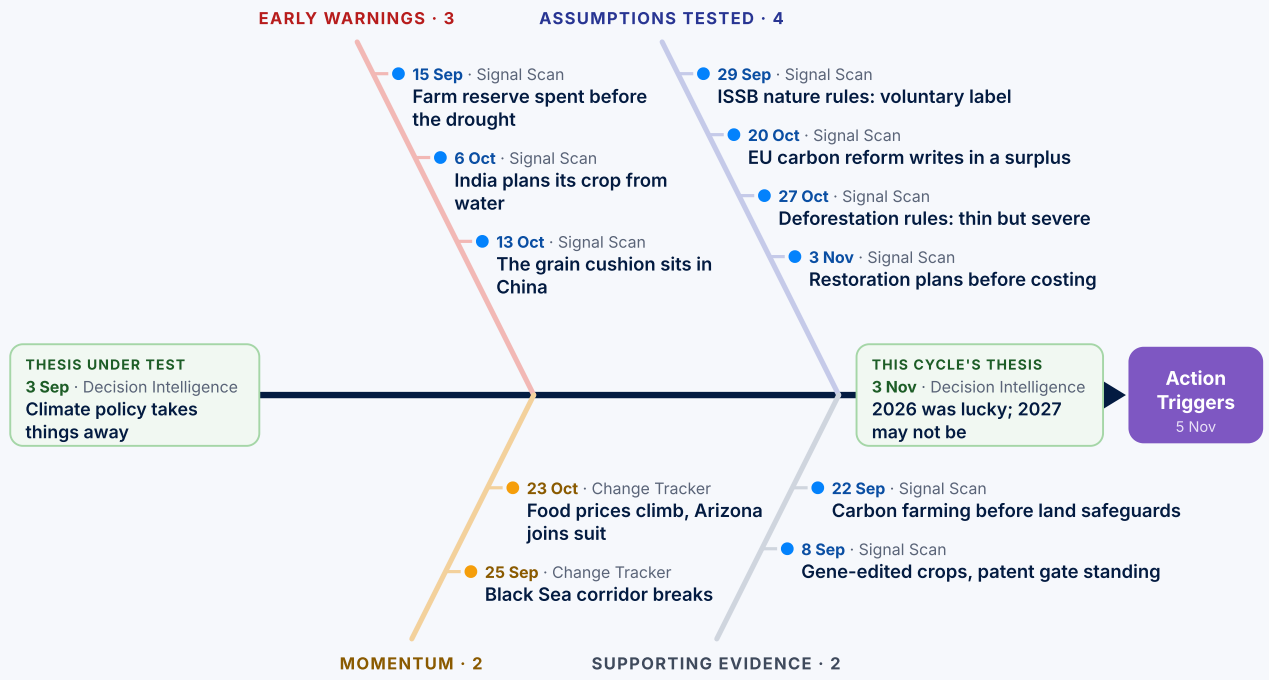
RAISE TO PREPARE If the Council confirms LIFE ends as a separate programme before 31 December 2027, re-price grant-dependent restoration projects against commercial funding.

STAND DOWN If the Commission publishes its analysis with a named EU funding line before final plans are filed, drop the cost budget for funded measures.

IF YOU ACT ON ONE THING

Size 2027 food and commodity cover to the grain exporters can actually sell, and secure it before the spring harvest estimates, because world totals overstate the cushion.

DRAWING ON



Signal Scan Change Tracker Decision Intelligence

Each bone groups the deliverables by what they added, with the oldest at the outer end. Hover over any deliverable for its full title.

HOW THIS WAS MADE

The Decision-Grade Intelligence Method

Shaping Tomorrow's six-stage process for converting external change into decision-ready intelligence.

Scan · Filter · Stress-test · Judge · Trigger · Actionable Intelligence

See full methodology → · How we verify → · Track record →

This briefing is not another report. It is the synthesis produced after continuously monitoring signals, tracking change, testing assumptions and updating scenarios throughout the cycle on **Climate, Nature & Food Systems**. Its purpose is to identify the points at which accumulated evidence has become decision-changing: the early warnings the work caught before consensus formed, the assumptions that have shifted between cycles, and the actions now decision-shaped enough to act on. Continuous intelligence on this topic is available as a Single-Topic or Multi-Topic programme.

Discuss a Tailored Programme

Prepared by Shaping Tomorrow: 5 November 2026